

# LECTURE: ##4

Date

## BUILDING PRODUCT, Talking to Users and Growing (Adora Cheng)

- \* How to grow from zero users to many users.
- \* The advice is in the form of a good direction.

### PRE-REQUISITES

\* Have alot of time for the startup.

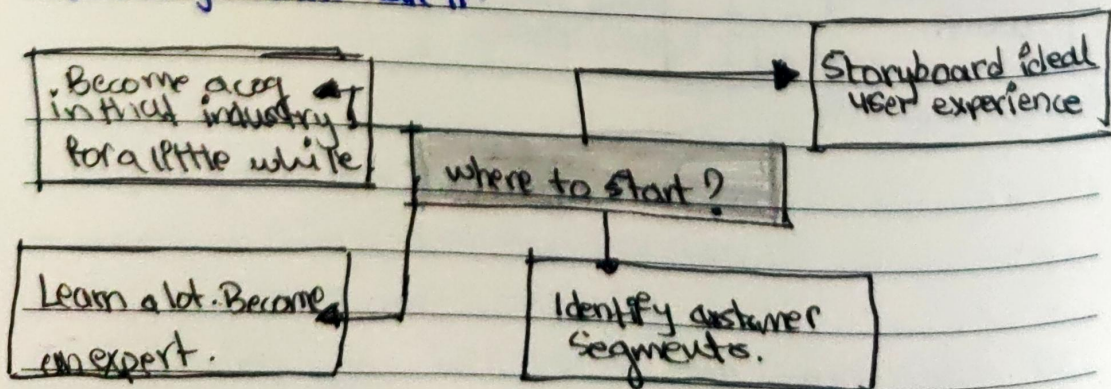
### The noob approach

1. Build product in secret.
2. Exclusive press launch.
3. wait for users.
4. Buy users.
5. give up.

Viscious Cycle

### Problem..

- 1) what is it?
- 2) how does it relate to you?
- 3) verify others have it.





\* work on the things that are really inefficient and try to provide solutions to that specific problem.

\* You should be obsessed to know that what everybody in the space is doing.

LEARN THAT HOW  
THE LOCAL COMPANIES  
WORK

\* Running a list of all the potential competitors. These are the golden nuggets. and you are understanding.

What is v1?

1) minimum viable product (mvp)

\* what is the smallest problem set you should use to help the customers.

\* You should be able to go with the person and understand the customer needs.

\* A one liner describes the functional benefit.

First Few Users

1) yes!

2) your mom, friends + co-workers.

3) online communities, e.g. HN, reddit.

4) local communities, e.g. mailing lists

5) niche influencers e.g. mommy bloggers.

6) cold calls + emails.

7) press.

The people  
were quite  
tripped!



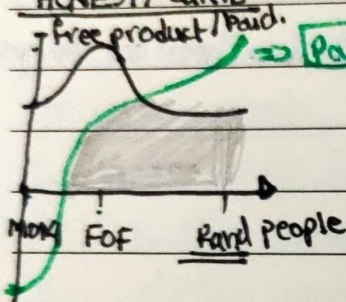
## Customer feedback

Date

- ⇒ support @ very important.
- ⇒ surveys: ok // interviews: better.
- ⇒ quantitative: retention, ratings, NPS.
- ⇒ qualitative: ask why, why, why.
- ⇒ beware of honesty curve.

Go out to the users and talk with them.

### HONESTY CURVE



### vs feature creep.

- Built Fast, but optimize for now.
- manual before automation.
- temporary brokenness > permanent paralysis.
- ⇒ beware of Frankenstien.

Perfection is irrelevant

### 6 is for stealth, and stupid.

- someone will steal your startup.
- \* there is a first-mover advantage.
- \* ... just launch it already.

### Ready for a lot users?

- ⇒ learn one channel at a time
- ⇒ iterate working channels
- ⇒ revisit failed channels.
- Key = creativity.

\* Growth in actual is technical and you need to find that little thing that no one is doing and actually focus on that.



## TYPES OF GROWTH

key = sustainability.

### 1) Sticky growth.

⇒ trying to get your existing users come back and pay you more.

### 2) Viral growth.

⇒ type of a growth in which everyone is talking about you.

⇒ You tell it to your friends and then they tell it to other people.

### 3) Paid growth.

\* use money to buy growth.

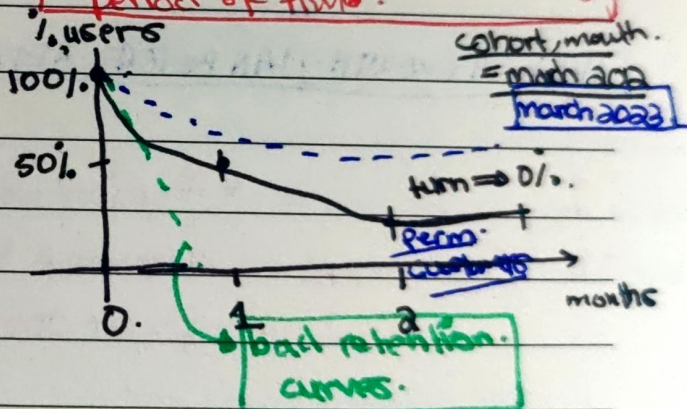
## STICKY GROWTH

\* good experience wins.

\* cohort retention cohort analysis important.

\* repeat users buy more and more.

CLV: How much value does a customer gives you over a long period of time.



## VIRAL GROWTH

\* WOW experience + good referral programs.

1. customer touch points.

2. Program mechanics.

3. referral conversion flow.

where are learning they refer other people.

Deliver a really good experience!

how they are going to sign up!

## PAID GROWTH - Examples

1) Sem.

5) Street marketing.

2) display ads.

6) bab scales.

3) facebook ads.

7) direct mailers.

4)groupon / daily deals.



\* Is your customer revenue greater than the customer acquisition cost.

\* Stop spending beyond your means.

\* Beyond 12 months is beyond territories.

### The art of pivoting

1. Bad growth.

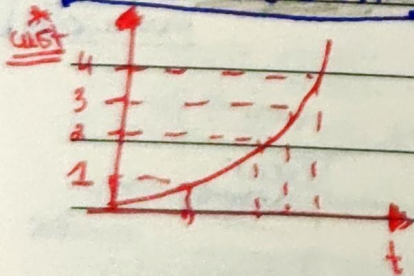
2. Bad retention.

3. Bad economics.

Give up, once.

you are unable to get the high retaining customers.

### HAVE A GROWTH PLAN BEFORE RETAINING CUSTOMERS.



\* If you are working really hard you need to understand that there is something that you are doing wrong.